UNIT II

FINANCIAL MARKETS -I

6 CHAPTER

MONEY MARKET

சிறப்புஈனும் செல்வமும் ஈனும் அறத்தினூஉங்கு
ஆக்கம் எவனோ உயிர்க்கு.

–குறள் 31

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COUPLET

Virtue will confer heaven and wealth; what greater source of happiness can man possess ?

Learning Objectives

To enable the students to understand the

- Characteristics of Money Market
- The Difference between Capital Market and Money Market
- The Money Market Instruments

Chapter Synopsis

6.01 Meaning and Definition

6.02 Objectives and Characteristics

6.03 Difference between Money Market and Capital Market

6.04 Participants in Money Markets

6.05 Money Market Instruments

6.05.01 Treasury Bills

6.05.02 Certificate of Deposit

6.05.03 Commercial Bills

6.05.04 Government or Gilt-Edged Securities Market.

Money Market

Money Market is a market for purely short-term funds. It deals with the financial assets and securities whose maturity period does not exceed one year.

6.01 Meaning and Definition

Money Market is the segment of financial markets where in financial instruments having maturities of less than one year are traded. Examples: Treasury Bills, Commercial Bills, Certificate of Deposits, Government Securities, etc.,

According to Crowther, "the money market is the collective name given to the various firms and institutions that deal in the various grades of near money".

The RBI defines the money market as, "a market for short-term financial assets that are close substitutes for money facilitates the exchange of money for new financial claims in the primary market as also for financial claims, already issued, in the secondary market".

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